UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))))	Docket No. RM26-4-000

COMMENTS OF GERONIMO POWER, LLC

Pursuant to the Federal Energy Regulatory Commission's ("FERC" or "Commission") October 27, 2025 Notice Inviting Comments,[1] Geronimo Power, LLC ("Geronimo Power") hereby submits these comments on the Secretary of Energy's ("Secretary") Advanced Notice of Proposed Rulemaking ("ANOPR").[2]

I. COMMENTS

Geronimo Power appreciates the opportunity to submit comments on the ANOPR and the Secretary's leadership on this important issue. Geronimo Power urges the Commission to promptly move forward with a notice of proposed rulemaking and final rule in this proceeding that builds on many of the principles articulated in the ANOPR to ensure large loads may interconnect to the grid in an efficient, timely, and non-discriminatory manner that will enable the expedited development of industries that are key to America's economic competitiveness while simultaneously mitigating impacts to the grid and its existing customers. An interconnection process that provides large loads a pathway to power on the timeline industry demands is essential

[1] *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Notice Inviting Comments (Oct. 27, 2025). *See also Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Notice Granting Extension of Time (Nov. 7, 2025).

[2] *Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act*, Advanced Notice of Proposed Rulemaking, Ensuring the Timely and Orderly Interconnection of Large Loads (Oct. 23, 2025).

for America to win the AI race, onshore industrial manufacturing, and maintain its position at the forefront of the global economy.

The current load interconnection framework is falling short and legacy processes are proving incapable of meeting the demands of the industries of the future. The longstanding paradigm in which load has been able to rely on obtaining service on a reasonable timeline by submitting a request to interconnect to the distribution network and receive service from the local utility is failing to deliver the service that data centers and other large loads demand. At the same time, large loads seeking to interconnect to the grid face *ad hoc* and opaque study processes—to the extent that a formal process exists at all.[3] And the novel interconnection and power supply solutions that could be used to meet the needs of large loads have been limited by regulatory hurdles and uncertainty.[4]

The ANOPR presents the Commission with a generational opportunity to remedy these issues by establishing a framework for interconnecting large loads on a commercially reasonable timeline at the transmission-level. Geronimo Power believes that the principles and framework set out in the ANOPR represent a foundation for the Commission's efforts in this area. Among other things, Geronimo Power supports:

- establishing a process providing for the coordinated evaluation of load and generation facilities;[5]

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[3] *Amazon Data Services, Inc. v. PacifiCorp, d/b/a/ Pacific Power*, Oregon Pub. Util. Comm'n Docket No. UM 2410, Complaint at P 6 (Oct. 30, 2025) (explaining that "after more than four years … PacifiCorp has not met its contractual or statutory requirements for any of the Data Center Campuses. PacifiCorp is supplying significantly less power than promised to the first Data Center Campus…, has delivered no power to the second…, and has refused to even complete its own standard contracting process for the third and fourth Data Center Campuses…").

[4] *See, e.g., PJM Interconnection, L.L.C.*, 189 FERC ¶ 61,078 (2024); *PJM Interconnection, L.L.C.*, 190 FERC ¶ 61,115 (2025).

[5] ANOPR at P 20.

- studying hybrid facilities based on the quantity of injection and/or withdrawal rights requested along with installation of system protection facilities to prevent unauthorized injections or withdrawals;[6]

- providing customers with the same (or equivalent) option to build currently provided to generator interconnection customers;[7] and

- assigning large load customers responsibility for the network upgrades needed to accommodate their request to interconnect.[8]

Geronimo Power urges the Commission to build upon the principles articulated in the ANOPR to establish a platform for the interconnection of large loads to the transmission system that is consistent with the jurisdictional lines drawn by the Federal Power Act ("FPA") and ensures the timely and orderly interconnection of large loads. Geronimo Power submits these comments on a limited subset of issues raised by the ANOPR to encourage the Commission to both avoid adopting a final rule that repeats the flaws that have plagued the Commission's generator interconnection process by going beyond financial demonstrations of readiness to adopt criteria tailored to ensure the viability of large load requests and to adopt principles which ensure that large loads pay for service and grid infrastructure based on their impact on the grid consistent with the cost causation principle.

A. The Terms And Conditions For Interconnecting Large Loads To The Transmission System Fall Squarely Within The Commission's Jurisdiction

A process governing how large loads interconnect to the interstate transmission system falls squarely within the Commission's jurisdictional mandate. The FPA provides the Commission with exclusive authority to regulate the rates, terms, and conditions of transmission in interstate

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[6] *Id.* at PP 22, 23.

[7] *Id.* at P 26.

[8] *Id.* at P 25.

commerce as well as any rules and regulations affecting such rates.[9] This authority extends to regulating the rates, terms, and conditions imposed (or that public utilities decline to impose) on customers seeking access to the interstate transmission system.[10] Indeed, the courts and Commission have recognized that the rates, terms, and conditions for interconnection service are a critical component of transmission service.[11] There is also ample evidence that large loads have a significant impact on the interstate electric transmission system.[12] Thus, there should be little question that the rates, terms, and conditions imposed by public utilities for access to the transmission system fall within FERC's jurisdiction under the FPA.

Geronimo Power expects that some commenters will attempt to cast doubt on the Commission's authority over load interconnection on the grounds that any effort to regulate the interconnection of large loads infringes on state jurisdiction. Such arguments, however, are wholly unsupported by the plain language of the FPA and decades of precedent. Courts have found that the Commission's authority under the FPA to regulate the interstate transmission of electric energy is not confined by whether the transmission is for a wholesale or retail sale.[13] The "FPA authorizes

[9] 16 U.S.C. § 824(b) (stating that federal regulation "shall apply to the transmission of electric energy in interstate commerce and to the sale of electric energy at wholesale in interstate commerce."); 16 U.S.C. § 824d(a) (recognizing that FERC has jurisdiction over all rules and regulations affecting or pertaining to rates and charges imposed by a public utility in connection with the transmission of electric energy in interstate commerce).

[10] *S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41, 49 (D.C. Cir. 2014).

[11] *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, 104 FERC ¶ 61,103, at P 12 (2003) ("Order No. 2003"), *order on reh'g*, Order No. 2003-A, 106 FERC ¶ 61,220 (2004), *order on reh'g*, Order No. 2003-B, 109 FERC ¶ 61,287 (2005), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005), *aff'd sub nom., National Ass'n of Regulatory Comm'rs v. FERC*, 475 F.3d 1277 (D.C. Cir. 2007). *See also Tennessee Power Co*., 90 FERC ¶ 61,238, 61,761 (2000) ("Interconnection is an element of transmission service and is already required to be provided under our pro forma tariff.").

[12] *See, e.g.*, N. Am. Elec. Reliability Corp., Characteristics and Risks of Emerging Large Loads at v (July 2025), *available at*: https://www.nerc.com/initiatives/large-loads-action-plan ("There is already evidence that large loads impact BPS reliability. For example, the Eastern and Electric Reliability Council of Texas … Interconnections have observed load-reduction events with each Interconnection experiencing approximately 1,500 MW of voltage-sensitive load reduction. The event in the Eastern Interconnection was primarily attributed to data centers and other power electronic loads … transferring load to backup generation and caused frequency overshoot and high voltages.") (citations omitted).

[13] *New York v. FERC*, 535 U.S. 1, 20-22 (2002).

FERC's jurisdiction over interstate transmissions, without regard to whether the transmissions are sold to a reseller or directly to a consumer…"[14] As Justice Clarence Thomas succinctly stated, "the only jurisdictional line that the statute draws with regard to transmission is between interstate and intrastate. Congress does not qualify its grant to FERC of jurisdiction over interstate transmission."[15]

The fact that a large load interconnection process may affect retail sales is not determinative of whether the Commission has jurisdiction to adopt such a process. Arguments asserting that FERC is impermissibly infringing on state jurisdiction by adopting a transmission rule that may affect state jurisdictional matters have the analysis backwards.[16] FERC has jurisdiction over the rates, terms, and conditions under which access is provided to the transmission system.[17] The fact that a FERC regulation addressing interstate transmission may have an incidental effect on matters outside of the Commission's jurisdiction "is of no legal consequence" to the Commission's jurisdictional analysis because "a FERC regulation does not run afoul of [the FPA's] proscription just because it affects — even substantially — the quantity or terms of retail sales."[18]

This analysis extends equally to the charges for transmission and ancillary services, as the ANOPR contemplates.[19] FERC plainly has authority to determine the rates, terms, and conditions

[14] *Id.* at 20.

[15] *Id.* (Thomas, J., dissenting at 37-38).

[16] *Hughes v. Talen Energy Mktg.*, *LLC*, 578 U.S. 150, 164 (2016) ("States may not seek to achieve ends, however legitimate, through regulatory means that intrude on FERC's authority over interstate wholesale rates."); *Nat'l Ass'n of Regulatory Util. Comm'rs v. FERC*, 143, 964 F.3d 1177, 1187 (D.C. Cir. 2020) ("While the FPA creates two separate zones of jurisdiction, the Supremacy Clause creates uneven playing fields."); *N. Nat. Gas Co. v. State Corp. Comm'n of Kan*., 372 U.S. 84, 93 (1963) ("Not the federal but the state regulation must be subordinated, when Congress has so plainly occupied the regulatory field.").

[17] *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 278 (2016) ("For that reason, an earlier D.C. Circuit decision adopted, and we now approve, a common-sense construction of the FPA's language, limiting FERC's 'affecting' jurisdiction to rules or practices that 'directly affect the [wholesale] rate.'").

[18] *Id.* at 281.

[19] ANOPR at PP 28-29.

of transmission service.[20] And ancillary services support the provision of transmission service.[21] A final rule that specifies the rates, terms, and conditions of transmission and ancillary services will pose no jurisdictional concerns.

A final rule that only regulates the interconnection of large loads to the transmission system and the rates, terms, and conditions of such interconnection service will also not infringe on two other areas expressly reserved to the states under the FPA: facilities used for the generation of energy or facilities used in local distribution.[22] Nothing in the ANOPR contemplates the Commission asserting jurisdiction over the determination of what generation facilities will be built or where such facilities will be sited. States will continue to have authority to make their own resource decisions, including whether resources may be co-located with large loads. And so long as any final rule is directed solely at transmission-level interconnections, the Commission will not be infringing on states' jurisdiction over local distribution facilities.[23]

The firm jurisdictional grounds upon which the principles articulated in the ANOPR stand are further supported by FERC's authority over matters affecting wholesale rates. Courts have repeatedly held that the Commission has authority to regulate matters that directly affect rates

[20] *New York v. FERC*, 535 U.S. 1, 12 (2002) ("[U]nbundled transmission service involves only the provision of 'transmission in interstate commerce' which, under the FPA, is exclusively within the jurisdiction of the Commission."). *See also S.C. Pub. Serv. Auth. v. FERC*, 762 F.3d 41, 54–58 (D.C. Cir. 2014) (finding regional transmission planning and cost allocation are practices subject to FERC's jurisdiction).

[21] *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Pub. Utils.; Recovery of Stranded Costs by Pub. Utils. and Transmitting Utils.*, Order No. 888, 61 Fed. Reg. 12540, 21581 (1996), *on reh'g*, Order No. 888-A, FERC Stats. & Regs. 31,048 (1997), *on reh'g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *on reh'g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998), *aff'd in relevant part sub nom. Transmission Access Policy Study Group v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York v. FERC*, 535 U.S. 1 (2002) ("We will require that an open access transmission tariff include the six ancillary services that we have identified as necessary for the transmission provider to offer to transmission customers. These are needed to accomplish transmission service while maintaining reliability within and among control areas affected by the transmission service.").

[22] 16 U.S.C. § 824(b)(1).

[23] *See Nat'l Ass'n of Regulatory Util. Comm'rs v. FERC*, 475 F.3d 1277, 1282 (D.C. Cir. 2007).

subject to FERC's jurisdiction.[24] The dramatic increase in load growth driven predominantly by new large loads seeking to interconnect is unquestionably directly affecting wholesale rates.[25] The Independent Market Monitor for PJM Interconnection, L.L.C. has asserted that "[d]ata center load growth is the primary reason for recent and expected capacity market conditions, including total forecast load growth, the tight supply and demand balance, and high prices" and has led to "a combined total increase in capacity market revenues for the 2025/2026 [Base Residual Auction ("BRA")] and the 2026/2027 BRA of $16,603,301,829."[26] There is simply not a reasonable basis to find that large loads are not having a direct (and substantial) effect on wholesale rates.

Moreover, the ANOPR is significantly more modest in its exercise of FERC's "affecting" jurisdiction than other FERC rules which courts have nevertheless upheld. For instance, courts have found that FERC's "affecting" jurisdiction extends to prohibiting states and utilities from preventing certain resources from participating in wholesale markets even when such resources are interconnecting at the distribution level.[27] Given that the large load interconnection process contemplated by the ANOPR addresses only transmission-level load interconnections and the allocation of costs for transmission service,[28] arguments that the Commission does not have "affecting" jurisdiction to adopt a transmission-level large load interconnection process are fundamentally misguided.

Finally, the ANOPR and the principles it articulates appear to contemplate a large load interconnection process that is radically different than the process recently rejected by the

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[24] *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 278 (2016).

[25] *See, e.g.*, Josh Saul, et al., *AI Data Centers Are Sending Power Bills Soaring*, Bloomberg (Sept. 29, 2025), https://www.bloomberg.com/graphics/2025-ai-data-centers-electricity-prices/.

[26] Monitoring Analytics, LLC, 2025 State of the Market Report for PJM: January through September at 1 (Nov. 13, 2025), *available at*: https://www.monitoringanalytics.com/reports/PJM_State_of_the_Market/2025.shtml.

[27] *Nat'l Ass'n of Regulatory Util. Comm'rs v. FERC*, 143, 964 F.3d 1177, 1187 (D.C. Cir. 2020).

[28] ANOPR at P 14 ("[T]he interconnection of large loads to the transmission system falls under a practice directly affecting Commission-jurisdictional wholesale electricity rates.").

Commission in *Tri-State Generation and Transmission Association, Inc*.[29] In *Tri-State*, the Commission rejected a transmission provider's load interconnection proposal on the grounds that it "appear[ed] to present an impermissible intrusion on retail rate regulation and thus [is] not subject to the Commission's authority pursuant to section 205 of the FPA."[30] The *Tri-State* proposal, however, sought to require load interconnecting through the proposed interconnection process to enter into contracts with the transmission provider's members containing minimum monthly demand and energy requirements.[31] The Commission found that as a result of these requirements, the transmission provider's proposed FERC-jurisdictional interconnection process would result in the terms and conditions of retail service being impermissibly regulated by FERC.[32]

No such concerns are presented by the ANOPR. Rather the ANOPR makes clear that it only contemplates a process pursuant to which the Commission would regulate the interconnection of large loads to the transmission system.[33] The ANOPR does not contemplate, and FERC should not adopt, a rule that sets forth any terms of retail service. So long as the final rule adopted by the Commission in this proceeding is consistent with the approach articulated by the ANOPR, the Commission will be acting squarely within the jurisdictional bounds drawn by the FPA.

B. A Final Rule Must Avoid The Flaws Of The Generator Interconnection Process By Imposing Meaningful Viability Criteria

In Order No. 2003, the Commission adopted standardized generator interconnection procedures to remedy undue discrimination by incumbent utilities in the generator interconnection process and remove barriers to entry associated with "an inadequate and inefficient" case-by-case

[29] *Tri-State Generation and Transmission Association, Inc*., 193 FERC ¶ 61,070 (2025) ("*Tri-State*").

[30] *Id.* at P 45.

[31] *Id.* at P 48.

[32] *Id.* at PP 49-50.

[33] ANOPR at P 15 ("Even if the large load seeking to interconnect to the transmission system is an end-use customer, the proposal does not exert jurisdiction over any retail sales to the large load.").

approach to generator interconnections.[34] A key component of the generator interconnection procedures adopted by the Commission was the requirement that transmission providers provide open access to interconnect based on the order in which interconnection requests were received.[35] This requirement—which came to be known as the first come, first served principle[36]—incentivized developers and utilities to submit a multitude of interconnection requests to hold a place in the generator interconnection queue irrespective of the relative likelihood that a project would reach commercial operation.[37]

The volume of interconnection requests the Commission's process incentivized led to bloated interconnection queues with many more gigawatts of capacity than could be meaningfully studied,[38] cascading restudies when higher queued projects withdrew,[39] and near decade long wait times for viable projects to interconnect to the grid.[40] While the Commission and transmission providers have in recent years taken steps to limit the number of interconnection requests that may be submitted and adopted cluster study processes that more efficiently study generator

[34] Order No. 2003 at P 10.

[35] *Id.* at P 131.

[36] *Xcel Energy Servs. v. FERC*, 41 F.4th 548, 550 (D.C. Cir. 2022) ("Under Commission rules, grid operators generally must consider requests to connect on a first-come, first-served basis.").

[37] *Improvements to Generator Interconnection Procedures and Agreements*, Order No. 2023, 184 FERC ¶ 61,054, at P 48 (2023) ("Order No. 2023"), *order on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199 (2024) (explaining that components of existing interconnection process "incentivize interconnection customers to submit speculative interconnection requests that contribute to interconnection study backlogs, delays, and uncertainty, and, in turn, unjust and unreasonable Commission-jurisdictional rates.").

[38] *See, e.g.*, *Midcontinent Indep. Sys. Operator, Inc.*, Docket No. ER25-507-000, Revisions to the Open Access Transmission, Energy and Operating Reserve Tariff Queue Cap Proposal and Exemptions to the Queue Cap Proposal Transmittal Letter at 15 (Nov. 21, 2024) ("The exponential growth of the MISO queue alone makes providing accurate modeling data nearly impossible. To capture the impact of an Interconnection Request on the Transmission System, MISO must study that Interconnection Request at its full output according to fuel-based dispatch assumptions. These studies establish the Network Upgrades needed to accommodate that request. This process becomes increasingly difficult when the proposed generation in a queue cycle far exceeds the projected peak load.") (citations omitted).

[39] *See, e.g.*, Order No. 2023 at PP 177, 455, 793.

[40] *See, e.g.*, Brookfield, Building the Backbone of AI at 14 (Aug. 2025), *available at*: https://www.brookfield.com/sites/default/files/documents/Brookfield_Building_the_Backbone_of_AI.pdf? ("In the U.S., interconnection queues average six years, pushing 10 years in markets like California.").

interconnection requests,[41] the historic failures of the Commission's generator interconnection process to timely connect new resources have exacerbated resource adequacy challenges[42] and led to certain transmission providers adopting reforms that erode the open access principles that precipitated the Commission's adoption of Order No. 2003.[43]

As Geronimo Power and its then affiliates noted in their post-workshop comments submitted in Docket No. ER24-9-000, Geronimo Power believes that many of the problems of existing queues can be traced back to an overreliance on escalating milestone and security requirements to screen out speculative requests.[44] Geronimo Power believes that solving the issues plaguing existing interconnection processes will require structural reforms that employ novel approaches to prioritization that ensure that the "best" projects move forward efficiently through the interconnection process, deter the submission of speculative requests, and take a broader view of the factors that ultimately determine project success.[45]

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[41] *See, e.g.*, Order No 2023 at PP 177, 502; *Midcontinent Indep. Sys. Operator, Inc.*, Docket No. ER25-507-000, Revisions to the Open Access Transmission, Energy and Operating Reserve Tariff Queue Cap Proposal and Exemptions to the Queue Cap Proposal Transmittal Letter (Nov. 21, 2024); *Cal. Indep. Sys. Operator Corp.*, 188 FERC ¶ 61,225, at P 103 (2024), *order on reh'g*, 193 FERC ¶ 61,117 (2025) ("CAISO states that, as explained at greater length in its Transmittal, the avalanche of pending interconnection requests and the limited transmission deliverability planned for the CAISO-controlled grid requires CAISO to apply some rational basis to limit the requests seeking deliverability to be studied in each cluster.").

[42] *See, e.g., Midcontinent Indep. Sys. Operator, Inc.*, 191 FERC ¶ 61,131 (2025) (Comm'r Rosner, concurring at P 2) ("MISO is challenged by persistent interconnection backlogs, permitting delays, and supply chain constraints. While some of these factors are within MISO's control, others are not. But they combine to limit MISO's ability to quickly and efficiently connect new resources to the grid in time to meet its needs.").

[43] *See, e.g.*, *Sw. Power Pool, Inc.*, 192 FERC ¶ 61,062 (2025); *Cal. Indep. Sys. Operator Corp.*, 188 FERC ¶ 61,225 (2024), *order on reh'g*, 193 FERC ¶ 61,117 (2025); *Midcontinent Indep. Sys. Operator, Inc.*, 192 FERC ¶ 61,064 (2025).

[44] *Innovations and Efficiencies in Generator Interconnection*, Docket No. AD24-9-000, Post-Workshop Comments of National Grid (Nov. 14, 2024).

[45] *Id. See also* Berkely Lab, Energy Markets & Planning*, Grid connection backlog grows by 30% in 2023, dominated by requests for solar, wind, and energy storage* (April 10, 2024) ("The new rules from FERC will be a step in the right direction when implemented, but it is increasingly clear that additional solutions to interconnection problems are essential to maintain grid system reliability amidst rising electricity demand and utility- and state-level clean energy goals.").

The Commission must avoid repeating the mistakes it made with respect to its generator interconnection process in adopting large load interconnection procedures. There is no reason to believe that exclusively relying on study deposits, withdrawal penalties, or other financial indications of readiness will be sufficient to deter the submission of requests by speculative or immature projects. Indeed, such measures are likely to be less effective in the large load interconnection context given the significant balance sheets backing many large load customers.

For that reason, Geronimo Power believes that it is critical that any large load interconnection process adopted by the Commission incorporate objective and technology neutral criteria to ensure that large loads are prioritized based on their maturity and ability to come online in the near term. To identify commercially viable large loads that have a near term pathway to operation, the Commission should ensure that any large load process prioritizes large loads that (1) demonstrate that they are backed by capacity sufficient to meet their power supply needs, (2) are the size that aligns with the types of large loads that are driving the significant load growth, and (3) have obtained applicably zoned site control and applied for certain material permits.

1. Any Process Should Prioritize Large Loads Supported By Capacity

It is well documented that one of the most, if not the most, significant obstacles to data center development in the U.S. is securing the necessary power.[46] A large load interconnection process that provides access to and assigns equal priority to all large loads without regard to

[46] Ian Goldsmith and Zach Byrum, *Powering the US Data Center Boom: Why Forecasting Can Be So Tricky*, World Resources Institute (Sept. 17, 2025), https://www.wri.org/insights/us-data-centers-electricity-demand ("Power availability has already emerged as a limiting factor for many data center developers, with one analysis finding that power constraints were extending data center construction timelines by 24 to 72 months."); Cushman & Wakefield, Americas Data Center Update, https://www.cushmanwakefield.com/en/insights/americas-data-center-update (last visited Nov. 15, 2025) ("Power constraints remain a critical challenge, with utility availability playing a key role in site selection for hyperscalers and large colocation projects."); Michael Elias, et al., *Data Centers Part II: Power Constraints – The Path Forward*, TD Securities (Jun. 20, 2024), https://www.tdsecurities.com/ca/en/data-centers-2-power-constraints (explaining that "lead time to procure utility power for new hyperscale data centers across 22 U.S. markets ranges from two and a half to seven years.").

whether there is supply available to serve the customer risks repeating the mistakes of the generator interconnection process by incentivizing data center developers and other large loads to submit a multitude of large load interconnection requests without having a viable pathway to achieving operation. Indeed, there is already evidence that the load interconnection queues of utilities are swelling with speculative load interconnection requests that lack a pathway to power resulting in study delays for more viable large load projects.[47]

The Commission can avoid repeating the mistakes that led to unmanageable generator interconnection queues by requiring that large loads demonstrate that their load is supported by a binding commitment of capacity sufficient to serve a significant proportion of their needs given the specified operational characteristics of the load. Geronimo Power encourages the Commission to define these criteria in a manner that provides large load with flexibility to enter into a wide array of power supply and/or load reduction arrangements to meet their demand. The Commission should, for instance, allow a load to demonstrate it has entered into a binding commitment for capacity sufficient to meet its needs through an arrangement with a co-located generation resource that functions as a primary power supply (*i.e.*, is able to provide power on a consistent basis rather than as backup supply), construction of its own primary power supply, a power purchase agreement or other supply arrangement with a grid-connected resource or utility, a binding commitment to curtail during prescribed conditions (e.g., peak), or some combination of these options.

[47] Brian Martucci, *A fraction of proposed data centers will get built. Utilities are wising up.*, UtilityDive (May 15, 2025), https://www.utilitydive.com/news/a-fraction-of-proposed-data-centers-will-get-built-utilities-are-wising-up/748214/ ("'Conservatively, you're seeing five to 10 times more interconnection requests than data centers actually being built.'"); Ian Goldsmith and Zach Byrum, *Powering the US Data Center Boom: Why Forecasting Can Be So Tricky*, World Resources Institute (Sept. 17, 2025), https://www.wri.org/insights/us-data-centers-electricity-demand ("Some experts believe that because of the rapidly growing market, utilities are being flooded with 'speculative' interconnection requests from data center developers.").

The requirement that large load be backed by capacity could be applied as "gating" criteria that load loads (and associated generation) are required to meet to enter the large load interconnection process. Alternatively, this requirement could be used to determine the relative priority of requests within the study process (*e.g.*, which projects should be fast tracked through the process).

Imposing a requirement that large loads demonstrate they are supported by capacity sufficient to address their needs to enter the queue or to increase their queue priority will ensure that transmission providers are devoting their limited resources to studying commercially viable large loads with a near term pathway to power. Large loads that have not secured capacity could wait until they have such supply before entering the queue or before becoming eligible to be fast-tracked through the queue.

Certain parties may argue that conditioning participation in the large load process on a demonstration that the load has secured capacity to meet its needs encroaches on state jurisdiction. But requiring that load is backed by capacity is a commonsense measure to evaluate the commercial viability of large loads and prevent large load interconnection queues from being overwhelmed by speculative requests. States will continue to have the ultimate authority over where to site generation and what utilities have the right to provide retail service to large load customers. States may even be incentivized to align their regulatory paradigms to accommodate different power supply options for these large loads to attract investment from data centers and industrial manufacturing.

The Commission has found that the functional equivalent of this requirement—a power purchase agreement ("PPA")—is a just and reasonable measure to evaluate the commercial viability of generation resources in the context of the generator interconnection queue.[48] Just as an appropriately structured PPA requirement can help identify those generators most likely to move forward to commercial operation, a requirement that large loads be backed by capacity to serve at least a significant proportion of their needs will help identify those large loads that should be advanced through the interconnection process and have a realistic chance of achieving operation in the near-term. This requirement also will assist transmission providers and grid planners with delineating real load growth from the phantom load growth that is currently driving wildly divergent estimates regarding the future needs of the grid and, in turn, allow them to develop infrastructure plans that are appropriately sized for the grid of the future.[49]

Ultimately, such a requirement will help mitigate the risk that captive ratepayers will be required to shoulder the costs associated with potentially speculative grid infrastructure development. Utilities are currently struggling with how to mitigate the risk that the costs associated with the infrastructure they are investing in to serve large loads will be passed on to their existing ratepayers if the large load does not in fact materialize. While there are certainly strategies utilities can adopt to mitigate such risk, the risk cannot be eliminated. But if large loads are required to demonstrate a binding commitment of capacity in connection with the large load interconnection queue, the risk that utilities will build out infrastructure for loads that never materialize will be materially reduced.

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[48] *See, e.g.*, *Cal. Indep. Sys. Operator Corp*., 124 FERC ¶ 61,031, at PP 50-51 (2008) ("PPA criterion demonstrates a proposed project has reached a significant developmental milestone and the criterion is a reasonable means to identify those projects that are likely to be among the projects first-ready to come on line.").

[49] *See* Chairman Rosner's Letter to the RTOs/ISOs on Large Load Forecasting (Sept. 18, 2025), https://www.ferc.gov/news-events/news/chairman-rosners-letter-rtosisos-large-load-forecasting ("Given the size and volume of new large load interconnection requests, I'm optimistic that utilities have an opportunity to apply similar criteria to those currently used to assess the commercial readiness of large projects in the generator interconnection queue. These objective criteria include observable milestones such as contracts, financial security deposits, and physical site control.").

2. The Large Load Interconnection Process Should Be Limited To Large Loads That Demand Service On A Timeline The Current Interconnection Paradigm Is Failing To Achieve

The ANOPR preliminarily defined large loads as loads greater than 20 MWs,[50] but sought comment on "alternative thresholds, including whether such a threshold is necessary at all."[51] Geronimo Power recommends the Commission apply a threshold that is set at a reasonable level that aligns with the size of the large loads that are driving this unprecedented load growth (*e.g.*, 100 MW and above). Limiting the large load interconnection process to large loads that are the ones primarily driving the unprecedented demand for power and that have been unable to timely obtain service under the traditional interconnection paradigm will ensure that the large load interconnection process is not overwhelmed by relatively small loads or the aggregation of small loads that do not have the demands of large hyperscale data centers and advanced industrial manufacturing facilities. While relatively small loads may have seen their interconnection timelines and path to power swell in recent years along with all other loads, providing significant large loads with an alternative interconnection pathway through the Commission's large load interconnection process will allow utilities to return to focusing on interconnecting and providing service to these relatively smaller loads through their traditional processes.

3. Large Loads Should Have Appropriately Zoned Site Control And Applied For Relevant Permits

Obtaining the right to develop a data center or other large load project on a particular parcel of land is a key step in the development of these projects. Without such land there is no project. It is thus only logical for the Commission to require large loads to demonstrate that they have obtained site control—just as generation developers now, in the post-Order No. 2023 world, must

[50] ANOPR at P 1, n.1.

[51] *Id.* at P 19.

similarly demonstrate site control for most of their generating facility[52]—before they are eligible to proceed through the large load interconnection process. Although Geronimo Power is not proposing an exhaustive list of site control and permitting requirements in these comments, it offers the following as examples of what could be reasonable requirements for meaningfully assessing project viability.

As part of imposing site control requirements on large load customers to access the large load interconnection queue, the Commission should require a large load to demonstrate that the site it controls is properly zoned for the project being submitted to the large load interconnection queue. Local opposition to data center and other large load projects has prevented many of these projects from moving forward in recent years. While local opposition can take numerous forms, refusing to rezone a property to support the applicable large load development or changing zoning regulations to prohibit the applicable large load development is one of the most frequent roadblocks that local opponents of these projects resort to in order to stall or prevent such projects from moving forward.[53] As a result, a large load customer's ability to demonstrate that the property upon which they intend to develop their project is appropriately zoned for such development will provide a key indicator that the large load is commercially viable and will be unlikely to be forestalled by local opposition.

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[52] Order No. 2023 at P 596.

[53] *See, e.g.*, Alexandra Hardle, *Developers of massive proposed data hub walk away from deal in West Valley*, Arizona Republic (May 2, 2024), https://www.azcentral.com/story/news/local/southwest-valley/2024/05/02/tract-withdraws-its-application-for-rezoning-for-14b-data-hub/73454246007/ ("A proposed $14 billion data hub in the West Valley has withdrawn its application for rezoning with Maricopa County. The nearly 1,000-acre data hub would have been practically surrounded by planned residential land in Goodyear and Buckeye, prompting representatives from the cities to oppose the project."); Eli Tan, *A Rural Missouri Town Fights Big Tech, and Itself*, The New York Times (Oct. 29, 2024), https://www.nytimes.com/2024/10/29/technology/data-center-peculiar-missouri.html ("Then came the aldermen's vote — by unanimous decision, the data center zoning was rejected. It is unclear where Diode will take its project.").

In addition, the Commission should require large loads to demonstrate that they have applied for material permits necessary for the construction of the large load's facility. This could include, for instance, a requirement that a large load demonstrate that it has submitted its site plan and building permits for a project to the relevant local authority. It would also be reasonable to require data center developers or large manufacturing facilities that will have on site backup diesel generation to demonstrate that they have applied for relevant air permits from local, state, and federal agencies. These are illustrative examples of possible permitting requirements and are by no means exhaustive. The point is that the Commission should impose criteria that ensure that a large load customer has taken concrete steps to advance its project by applying for permits that are critical to the viability of the project. These permitting requirements will help ensure that the large load projects that utilize the large load interconnection process are commercially viable.

C. Large Loads Should Pay For Service Based On Their Impact On The Grid

The ANOPR provides a helpful starting point for the Commission to consider how large loads should be evaluated for service and assessed charges for transmission service. In particular, the ANOPR contemplates that any studies of, and charges imposed on, large loads should be based on the net impact of the large load (and associated generation) on the transmission system. This is reflected in principle three, which recognizes that the coordinated evaluation of large loads and associated generating facilities has the potential to support the "efficient siting of loads and generating facilities and . . . minimize the need for costly network upgrades."[54] Studying large loads and generation resources together would, as the ANOPR recognizes,[55] provide transmission providers with a clearer picture of a hybrid facility's actual impact on the grid and reduce the need

[54] ANOPR at P 20 ("Third, to the extent practicable, load and hybrid facilities should be studied together with generating facilities.").

[55] *Id.*

for unnecessary network upgrades that can prevent projects from achieving commercial operation on a reasonable time frame.

Principle eleven of the ANOPR also reflects this approach. Principle eleven states that "utilities serving large loads, including those at hybrid facilities, should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load."[56] Geronimo Power fully agrees with this principle because assessing large loads transmission service charges based upon their actual withdrawal rights appropriately limits the cost responsibility of such customers to the costs necessary to provide them with the service requested.

Certain commenters may argue that large loads should be assessed transmission service charges irrespective of any co-located generation resources. But a final rule that adopts such arguments would be inconsistent with the FPA's cost causation principle. The cost causation principle requires that "all approved rates reflect to some degree the costs actually caused by the customer who must pay them" and prohibits the Commission from approving a rate scheme that will result in one group of customers being required to subsidize the provision of service to a different group of customers.[57] No amount of "emphasizing other competing interests permits FERC to sacrifice the foundational principle of cost-causation by refusing to allocate costs 'to those who cause the costs to be incurred and who reap the resulting benefits.'"[58]

There is no reasonable basis to conclude that a large load that commits to only withdraw a set amount of energy from the grid and implements system protection or other devices—as the

[56] *Id.* at P 11.

[57] *Constellation Mystic Power, LLC v. FERC*, 45 F.4th 1028, 1050 (D.C. Cir. 2022) (quoting *Black Oak Energy, LLC v. FERC*, 725 F.3d 230 (D.C. Cir. 2013)); *City of Lincoln v. FERC*, 89 F.4th 926, 930 (D.C. Cir. 2024).

[58] *El Paso Elec. Co. v. FERC*, 76 F.4th 352, 363 (5th Cir. 2023) (quoting *Nat'l Ass'n of Reg. Util. Comm'rs v. FERC*, 475 F.3d 1277, 1285 (D.C. Cir. 2007)).

ANOPR contemplates[59]—to ensure that it does not withdraw more energy than its agreed upon amount causes costs associated with its entire load. In the event that such load's co-located resource fails to perform, the load will not be permitted to take service beyond its already agreed upon amount from the grid. Assessing large loads transmission service charges for a service that they have agreed to forgo is akin to a fast food chain charging a customer for fries and a drink when it has only ordered a burger—a proposition that, if the fast food industry was governed by the FPA, would be unjust, unreasonable, and fundamentally inconsistent with the cost causation principle.

Assessing large loads based on their net impact is not only required by the cost causation principle, it will also accelerate the ability of large loads to obtain power on a timely basis. Such an approach would help ensure that the ability of large loads to achieve operation is not delayed by the construction of transmission system upgrades that ultimately are unnecessary to accommodate their project's impact on the grid. Moreover, assessing large load based on their net impact will create an incentive for large loads to pursue co-location or other arrangements that minimize their reliance on the grid and protect captive customers from the costs of extensive and potentially unnecessary grid infrastructure costs.

While Geronimo Power appreciates the ANOPR's general approach to assigning costs to large loads in a manner consistent with the cost causation principle, it is concerned that the ANOPR's approach to assessing costs for ancillary services could pose an impediment to the development of large loads and their related infrastructure and be inconsistent with the cost causation principle. Specifically, principle twelve of the ANOPR states that "utilities serving large loads, including those at hybrid facilities, should be responsible for ancillary services based on

[59] ANOPR at P 23 ("Sixth, any hybrid interconnection shall be required to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights.").

peak demand, without consideration of any co-located generation."[60] It is not clear that the ANOPR contemplates the market participant serving a large load being assessed ancillary service charges regardless of its co-located generation since the ANOPR also indicates that "[a]ny co-located generating facilities will similarly be fully compensated for the provision of ancillary services," which at least suggests that ancillary service charges would ultimately be netted out for loads co-located with generation.[61] However, to the extent the ANOPR is suggesting that ancillary service charges should be assessed based on a large load's total demand and without taking into account self-imposed limitations on such load or netting out co-located generation, the Commission should take a different approach that is consistent with the cost causation principle.

Assessing large loads costs for ancillary services based on their gross demand is inconsistent with the FPA's cost causation principle because it risks imposing ancillary service charges on large loads despite these customers not needing such services—or at least not needing such services at the level for which they are being charged. A large load that is, for instance, co-located with a firm power supply option and agrees to curtail when this generation is not available may have little or no need for imbalance service. Additionally, it is not clear what assessing charges for imbalance service based on gross demand would mean in practice, as charges for imbalance service generally are limited to the deviation between a customer's schedules and actual load or generation. To the extent that principle twelve is intended to suggest that *all* ancillary services should be billed based on the gross load of a large load customer, the ANOPR paints with too broad of a brush.

[60] *Id.* at P 29.
[61] *Id*.

A better approach for the Commission to take is to treat ancillary service costs in the same manner as it has proposed to treat transmission service charges: large loads pay for ancillary services based on their actual use of, and reliance on, the service at issue. In practice, this will require a more nuanced assessment of the extent to which various ancillary services are necessary to serve large loads. While it may be appropriate to assess charges to large loads that are not co-located with generation in a manner that is comparable to the way that such charges are imposed on network customers, large loads that are co-located with generation will require a more nuanced assessment to come up with a billing determinant that accurately reflects the extent to which a market participant serving a large load relies on a given ancillary service.

II. CONCLUSION

Geronimo Power respectfully requests that the Commission issue a notice of proposed rulemaking and final rule consistent with this Comment.

Respectfully submitted,

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On behalf of Geronimo Power

Dated: November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have caused the foregoing document to be served upon the individuals designated on the Commission's official service list for this proceeding.

Dated at Washington, D.C., this 21st day of November, 2025.

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